

24STCV06764 24STCV06764

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Case Number: 24STCV06764 Hearing Date: July 17, 2026 Dept: 515

NATURE OF PROCEEDINGS:

Hearing on Defendant's Motion to Reclassify Case from Unlimited Civil to Limited Civil Jurisdiction

Defendant Cultureedit, LLC's Motion to Reclassify is denied.

BACKGROUND

Plaintiff Tom of Finland Foundation, Inc. (Plaintiff), a public benefit corporation, together with seven wholesale suppliers, filed this action against Defendant Cultureedit, LLC (Defendant). Plaintiff alleges that it licensed Defendant to operate an online store using Plaintiff's trademarks and intellectual property, that Defendant failed to pay royalties owed under the license agreement, and that Defendant retained the store's proceeds and misappropriated Plaintiff's intellectual property and internet domain.

The operative Second Amended Complaint (SAC) alleges six causes of action: (1) breach of contract; (2) breach of the duty of loyalty; (3) violation of the Unfair Competition Law; (4) conversion; (5) fraud; and (6) an accounting. Plaintiff seeks compensatory damages, an accounting, disgorgement, declaratory relief, injunctive relief, and punitive damages.

The Court previously sustained Defendant's demurrer to the third and fifth causes of action with leave to amend and overruled the demurrer on the ground of misjoinder. The seven wholesale suppliers were later dismissed or removed from the action, leaving Plaintiff as the only remaining plaintiff.

Defendant filed a Motion to Reclassify. Plaintiff filed a

Notice of Non-Opposition.

LEGAL STANDARD

Code of Civil Procedure section 403.040 governs a motion to reclassify a civil action. A defendant may move for reclassification within the time allowed to respond to the initial pleading, and the court shall grant the motion if the case has been classified in an incorrect jurisdictional classification. (Code Civ. Proc., § 403.040, subd. (a).) When a party moves for reclassification after that time, the court shall grant the motion only if both the case is incorrectly classified and the moving party shows good cause for not seeking reclassification earlier. (Code Civ. Proc., § 403.040, subd. (b).)

An action is a limited civil case only if all applicable conditions are satisfied, including that the amount in controversy, exclusive of attorney's fees, interest, and costs, does not exceed thirty-five thousand dollars (\$35,000), and that the relief sought is of a type that may be granted in a limited civil case. (Code Civ. Proc., §§ 85, 86, subd. (a)(1).)

"[A] matter may be reclassified as a limited civil action 'when (i) the absence of jurisdiction is apparent before trial from the complaint, petition, or related documents, or (ii) during the course of pretrial litigation, it becomes clear that the matter will "necessarily" result in a verdict below the superior court's jurisdictional amount'" (Ytuarte v. Superior Court (2005) 129 Cal.App.4th 266, 276-277 (Ytuarte), quoting Walker v. Superior Court (1991) 53 Cal.3d 257, 262 (Walker).)

"The court may believe it highly unlikely that plaintiff will recover the amount demanded, but this is not enough to defeat jurisdiction, unless it appears to a legal certainty that plaintiff cannot recover the amount which he has demanded." (Walker, supra, 53 Cal.3d at p. 270.) The standard evaluates the amount fairly in controversy and is not an adjudication of the merits of the claim. (Ytuarte, supra, 129 Cal.App.4th at p. 277.) It "is not met when it appears a verdict within the unlimited court's jurisdiction is 'possible.'" (Ibid.)

The high standard reflects the circumscribed procedures and recovery available in the limited civil courts. (Ytuarte, supra, 129 Cal.App.4th at p. 278.) A plaintiff in a limited civil action may not obtain a permanent injunction and has fewer rights to declaratory relief than a litigant

in an unlimited case. (Id. at p. 275; see Code Civ. Proc., § 86, subds.

(a)(7), (a)(8).)

ANALYSIS

Because Defendant moved to reclassify after the time to respond to the initial pleading, Defendant must show both that the case is incorrectly classified and good cause for the delay. (Code Civ. Proc., § 403.040, subd. (b).) Plaintiff's non-opposition does not establish that the case is incorrectly classified.

I. The Amount in Controversy

Defendant argues that, with the wholesale suppliers no longer parties, Plaintiff's remaining claims cannot yield a recovery exceeding \$35,000 to a legal certainty.

Defendant's showing addresses the contract claim. Under the license agreement, Plaintiff is entitled to royalties only on the net proceeds of Custom Products sold through the online store, and Defendant's evidence is that total net proceeds for those products since 2017 were \$25,739.82, yielding a maximum royalty of approximately \$2,573.98, further reduced by a \$15,000 advance. (Andreasson Decl. ¶¶ 6-9.) Taken alone, the contract claim falls below the jurisdictional threshold.

Plaintiff's recovery, however, is not confined to contract royalties. The SAC pleads conversion of Plaintiff's intellectual property and internet domain, breach of the duty of loyalty, fraud, and disgorgement of the store proceeds Defendant allegedly retained, and it seeks punitive damages on the conversion and fraud causes of action. The SAC fixes no amount for these claims, and the amount in controversy includes the recovery sought on them, including punitive damages. (Code Civ. Proc., § 85, subd. (a).)

Defendant responds that these claims cannot produce a meaningful recovery because the agreement forecloses the loyalty claim, the Unfair Competition Law affords no damages, the conversion claim is preempted, and the fraud claim states no coherent basis for recovery. Those are contentions about the merits. On a motion to reclassify, the Court evaluates the amount fairly in controversy and does not adjudicate the merits of the

claims. (Ytuarte, supra, 129 Cal.App.4th at p. 277.) The test is whether a jurisdictionally sufficient verdict is possible, not whether it is probable. (Maldonado v. Superior Court (1996) 45 Cal.App.4th 397, 402.)

Because Plaintiff's conversion, fraud, disgorgement, and punitive damages claims seek unliquidated amounts that the SAC does not cap, and because the Court may not resolve the merits of those claims on this motion, it does not appear to a legal certainty that Plaintiff's recovery will necessarily be \$35,000 or less. A verdict within the unlimited court's jurisdiction remains possible. (Ytuarte, supra, 129 Cal.App.4th at p. 277.)

II. The Relief Sought

Independent of the amount in controversy, the relief Plaintiff seeks is not of a type available in a limited civil case. An action qualifies as a limited civil case only if the relief sought is of a type that may be granted in such a case. (Code Civ. Proc., § 85.)

The SAC seeks permanent injunctive relief: an order compelling Defendant to return the internet domain, to cease using Plaintiff's intellectual property, and to refrain from representing any association with Plaintiff. A plaintiff in a limited civil action may not obtain a permanent injunction. (Ytuarte, supra, 129 Cal.App.4th at p. 275.) Section 86, subdivision (a)(8) authorizes a limited civil court to issue only a temporary restraining order or preliminary injunction necessary to preserve the property or rights of a party to a case that is otherwise a limited civil case. It does not authorize the permanent injunctive relief Plaintiff seeks.

Defendant contends that the requested relief is authorized under section 86, subdivision (a)(8). That subdivision applies to provisional relief ancillary to a case that already qualifies as limited, not to a permanent injunction sought as ultimate relief. Plaintiff also seeks declaratory relief, which a limited civil court may grant only by cross-complaint or after nonbinding attorney-client fee arbitration. (Code Civ. Proc., § 86, subd. (a)(7).) Neither circumstance is present.

Because the SAC seeks relief that a limited civil court cannot grant, the action is not correctly classified as limited on this ground as well. For the reasons stated above, the case is not incorrectly classified,

and the Court does not reach the question of whether Defendant showed good cause for failing to seek reclassification earlier.

Accordingly, the Motion is denied.

CONCLUSION

Defendant Cultureedit, LLC's Motion to Reclassify is denied.